



DOCEBO INC. · TSX: DCBO · REVERSE DCF

The market is pricing Docebo as if its customers are quietly leaving

At C\$33.22, Docebo's share price only makes sense if existing customers pay about 10% less every year: a net revenue retention of 90%. Docebo reports 99%.

ANALYST	CONTACT	METHOD	PRICES AS OF
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The hidden bet: 90.3% retention vs 99% reported.

We rebuilt Docebo as a 10-year recurring-revenue model using only reported figures, then solved for the net revenue retention (NRR) that matches today's price. It implies existing customers shrink their spending by about 9.7% a year. Docebo reports a 1% decline.

The price also leaves almost no room for new sales.

Holding retention at the reported 99%, the price implies about US\$2M a year of new-customer ARR. Docebo added about US\$24M in the last 12 months.

At reported numbers the model gives C\$53.53 (+61%).

That uses management's own 24% margin target and a 10% discount rate. Across discount rates of 8–12%, the value ranges from C\$41 to C\$75.

The company has real red flags.

A US\$70M buyback that almost nobody sold into, a debt-funded acquisition that flatters growth, a 63.7% controlling shareholder, and "adjusted" profit that excludes recurring severance costs. Section 5 lists them with sources.

Key data

Share price (TSX)	C\$33.22
Model value (base)	C\$53.53
Implied upside	+61%
Shares outstanding	24.96M
Market cap	C\$829M
Net debt	US\$44.8M
Enterprise value	US\$637M
ARR (Jun-26)	US\$255.1M
ARR growth	9.5%
Gross margin	79.4%
LTM free cash flow	US\$48.7M
EV / ARR	2.5×
EV / LTM FCF	13.1×

Market-implied view:
pessimistic

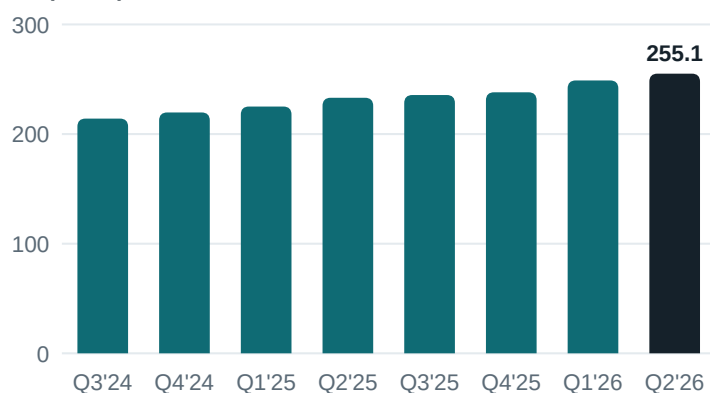
1. Company overview

Docebo sells a cloud learning platform that companies use to train employees, customers and partners. Subscription revenue was 94% of total revenue in Q3-2025 and Q4-2025. The company is headquartered in Toronto, reports in US dollars, and is listed on the TSX and Nasdaq. InterCap owns 63.7% of the shares.

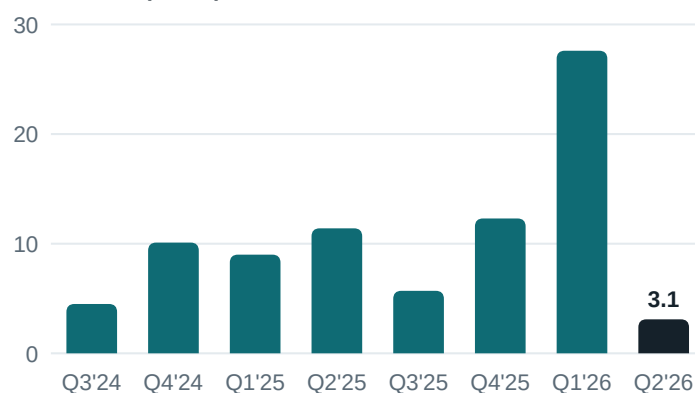
ARR growth slowed from 17.8% in Q3-2024 to 8.4% in Q4-2025, then recovered to 9.5% in Q2-2026. The 2026 figure includes ARR from 365Talents, a French company Docebo bought in January 2026. Its largest OEM customer fell from 9.4% of ARR in March 2025 to 2.5% in June 2026; management says the AWS churn is complete and Dayforce is winding down. Over the same period profitability improved: adjusted EBITDA margin rose to 18.5% over the last twelve months.

EXHIBIT 1 · ARR AND FREE CASH FLOW BY QUARTER (US\$M)

ARR (US\$M)



Free cash flow (US\$M)



Source: each quarter's Docebo press release (Q3-2024 to Q2-2026). FCF swings with billing timing: Q1-26 was 42% of revenue, Q2-26 was 4.5%.

2. Method: reported numbers in, market expectation out

A normal DCF picks assumptions and produces a share price. A reverse DCF starts from the price and solves for the assumption the market must hold. We solve for net revenue retention because Docebo reports it and it drives the value of a subscription business more than any other number.

- ① Ending ARR = Starting ARR × NRR + New-customer ARR
- ② Revenue = average(Starting ARR, Ending ARR) × 1.061 (LTM revenue ÷ average ARR)
- ③ FCF = Revenue × adj. EBITDA margin × 87.7% (FY2025 FCF ÷ adj. EBITDA)
- ④ Value today = $\sum FCF_t \div (1 + r)^t + [FCF_{10} \times (1 + g) \div (r - g)] \div (1 + r)^{10}$
- ⑤ Price = (Enterprise value + cash - debt) ÷ shares × USD/CAD
- ⑥ Solve: Price(NRR) = C\$33.22 → NRR = 90.3%

No analyst guesses. Every input is reported by Docebo, calculated from reported numbers, taken from management's own long-term target, or a stated market convention (10% discount rate, 2.5% terminal growth). New-customer ARR and the FCF conversion rate are held flat at their actual levels. The appendix lists each input and its source.

EXHIBIT 2 · BASE-CASE FORECAST AT REPORTED NRR OF 99% (US\$M)

YEAR	1	2	3	4	5	6	7	8	9	10
Starting ARR	255.1	276.9	298.4	319.8	340.9	361.8	382.6	403.1	423.4	443.5
+ New-customer ARR	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3	24.3
– Existing customers (NRR 99%)	(2.6)	(2.8)	(3.0)	(3.2)	(3.4)	(3.6)	(3.8)	(4.0)	(4.2)	(4.4)
Ending ARR	276.9	298.4	319.8	340.9	361.8	382.6	403.1	423.4	443.5	463.4
Revenue	282.1	305.1	327.9	350.4	372.7	394.8	416.6	438.3	459.7	480.9
Adj. EBITDA margin	21.3%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%
Adjusted EBITDA	60.0	73.2	78.7	84.1	89.4	94.7	100.0	105.2	110.3	115.4
Free cash flow	52.6	64.2	69.0	73.7	78.4	83.1	87.7	92.2	96.7	101.2
Present value at 10%	47.8	53.1	51.8	50.4	48.7	46.9	45.0	43.0	41.0	39.0

New-customer ARR is held flat at the last-12-months level (US\$24.3M), with no growth assumed. That figure includes some acquired 365Talents ARR, which Docebo does not break out.

EXHIBIT 3 · FROM CASH FLOWS TO VALUE PER SHARE

Sum of PV of free cash flow, Years 1–10	466.6
PV of terminal value (2.5% growth)	533.2
Enterprise value (US\$M)	999.8
+ Cash after buyback / – Debt	43.2 / (88.0)
Equity value (US\$M)	955.0
÷ Shares (M) → US\$ per share	24.96 → 38.26
Value per share (C\$, at 1.3991)	53.53
Terminal value share of EV	53%

3. The finding: four ways to read C\$33.22

Retention is the main lens, but the same price can be read through any single lever with the others held at reported levels. Each reading says the same thing: the market expects much worse than Docebo is reporting.

EXHIBIT 4 · WHAT TODAY'S PRICE REQUIRES, ONE LEVER AT A TIME

LEVER	REPORTED / COMPANY FIGURE	NEEDED TO JUSTIFY C\$33.22
Net revenue retention	99% (FY2025)	90.3%
New-customer ARR per year	US\$24.3M (last 12 months)	about US\$2.2M
Long-term adj. EBITDA margin	18.5% today, 24% target	15.1%, forever
Required return (discount rate)	10% (CAPM cross-check ≈ 9%)	13.9%

Solved with the model in Exhibits 2–3, changing one lever at a time. CAPM: Canada 10-year yield 3.99% + beta 1.0 × 5% premium.

You don't even need management's margin target. At today's 18.5% margin, held forever, the model gives C\$40.96, still 23% above the price.

The limit of the argument: if Docebo never signed another new customer, the model gives C\$31.24, just below the price. So the market does price in some new sales, but only about a tenth of the current pace.

4. Sensitivity

EXHIBIT 5 · VALUE PER SHARE (C\$): NET REVENUE RETENTION × DISCOUNT RATE

NRR ↓ / DISCOUNT →	8%	9%	10%	11%	12%
80%	27.36	23.36	20.41	18.12	16.30
85%	34.69	29.47	25.61	22.64	20.28
90%	44.97	37.95	32.79	28.83	25.69
95%	59.48	49.84	42.77	37.37	33.11
99% (reported)	75.29	62.72	53.53	46.53	41.01
101% (ex-AWS)	85.00	70.60	60.09	52.09	45.80
105%	108.92	89.96	76.15	65.67	57.46

Green = above the C\$33.22 market price; red = below. Boxed cells are closest to the market price.

Implied NRR at each discount rate

DISCOUNT RATE	8%	9%	10%	11%	12%
Implied NRR	84.1%	87.4%	90.3%	92.8%	95.1%

Even at a harsh 12%, the price needs retention below the reported 99%.

Stress tests (at reported NRR)

Margin stays at today's 18.5%	C\$40.96
NRR 101% (ex-AWS, now that AWS is gone)	C\$60.09
No new customers, ever	C\$31.24

5. Red flags: what looks sketchy about Docebo

The model says the stock looks cheap if the reported numbers hold. These facts are reasons a sceptical investor might not trust them, or might demand a discount anyway.

FLAG	THE FACTS	SOURCE
A buyback nobody wanted	Announced a US\$70M buyback at US\$20.40, calling the stock undervalued. Raised the offer to US\$25.00. Only 99,332 shares (US\$2.48M) were tendered; InterCap tendered 13,351.	Releases of 17 Jul, 21 Aug and 11 Sep 2026
Planned to borrow for it	The buyback was to be funded with ~US\$10M of cash and a US\$60M draw on the credit facility.	Release of 17 Jul 2026
Debt went up fast	Credit facility raised from US\$50M to US\$100M (Feb 2026), then US\$150M. Drew ~US\$50M on 14 Jan 2026. Borrowings of US\$88.0M against cash of US\$45.7M at 30 Jun 2026.	Q1/Q2-2026 MD&A; release of 17 Jul 2026
Growth partly bought	Bought 365Talents for US\$61.3M on 20 Jan 2026, six days after the loan draw. It is expected to add ~US\$9M of revenue in 2026. Headline ARR "re-acceleration" includes acquired ARR, which is not broken out.	Acquisition release 20 Jan 2026; release of 21 Apr 2026
Controlled company	InterCap owns 63.7% (15.9M shares). Outside shareholders cannot outvote it.	Release of 11 Sep 2026
Insiders sold near the top	In 2021 InterCap, founder Claudio Erba and CEO Alessio Artuffo sold shares at C\$112.00 and US\$49.67. The stock is C\$33.22 today.	Secondary offering releases, 2021
Biggest customers leaving	Largest OEM customer: 9.4% of ARR (Mar 2025) → 3.2% (Mar 2026) → 2.5% (Jun 2026).	Releases of 21 Apr and 7 Aug 2026
"Adjusted" hides real costs	Adjusted EBITDA excludes share-based pay, restructuring and acquisition costs. Severance: US\$5.2M in FY2025 and US\$6.2M in Q1-2026 alone.	MD&A definitions; FY2025 and Q1-2026 financial statements

The strangest one is the buyback. Management said the shares were undervalued and offered to buy up to US\$70M worth, even raising the price to US\$25.00. Shareholders kept almost all of their shares. That could mean holders think the stock is worth more than US\$25, or that the float is so thin, with 63.7% held by one owner, that few sellers exist. Either way, the plan to borrow up to US\$60M for it shows how willing the company is to add debt.

6. Conclusion and what to watch

On reported numbers, Docebo's price assumes a sharp deterioration: retention falling from 99% to about 90%, or new sales collapsing to a tenth of today's pace. The company's filings show neither yet. That points to undervaluation, **but** the red flags give real reasons for a discount: debt-funded deals, acquired growth, "adjusted" profit that excludes recurring severance, and a controlling shareholder.

Catalyst: Q3-2026 results (early November 2026). Watch three things: (1) any updated net revenue retention figure, now that AWS has fully churned; (2) organic ARR growth excluding 365Talents; (3) borrowings. We'll re-run the model and log whether implied retention moves toward or away from the reported figure.

Appendix: inputs and sources

INPUT	VALUE	TYPE	SOURCE
Quarterly ARR, revenue, adj. EBITDA, FCF	Exhibit 1	Reported	Docebo press releases Q3-2024 to Q2-2026 (sec.gov 6-K filings)
Net revenue retention	99% (101% ex-AWS)	Reported	Q4-2025 earnings call
New-customer ARR	US\$24.3M / yr	Calculated	$255.1 - 233.1 + 1\% \times 233.1$, held flat
Revenue per \$ of ARR	1.061	Calculated	LTM revenue 258.9 ÷ average ARR 244.1
Adj. EBITDA margin	18.5% → 24% by 2028	Reported → company target	LTM actual; management's long-term model (>\$80M, 24% by 2028)
FCF conversion	87.7%	Calculated	FY2025 FCF 38.4 ÷ FY2025 adj. EBITDA 43.8
Cash / debt / shares	43.2 / 88.0 / 24.96M	Reported	Releases of 17 Jul and 11 Sep 2026
Price / USD-CAD	C\$33.22 / 1.3991	Reported	TSX close and mid-market rate, 17 Sep 2026
Discount rate / terminal growth	10% / 2.5%	Convention	CAPM cross-check ≈ 9%; ≈ 2% inflation target + real growth

Figures were compiled from Docebo's press releases and SEC 6-K filings via public news and search sources. Full links for every number are on the Sources tab of Docebo_Reverse_DCF.xlsx.

Analyst certification

I, Noah Alazar, certify that the views expressed in this report accurately reflect my personal views about the subject company and its securities. I have not received and will not receive any compensation for this report. I hold no position in Docebo Inc.

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